PHILLIP HIMES | eXp REALTY

THE BUYER'S ADVANTAGE

2026 EDITION

Current Trends, Insights & What to Expect
in the South Houston Suburbs

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League City · Friendswood · Pearland · Clear Lake · Dickinson

Top Reasons To Own

- **Accomplishment**
  Feel proud of what you've built — owning a home is one of the most meaningful milestones in life.
- **Stability**
  Lock in a fixed monthly payment and stop paying someone else's mortgage.
- **Appreciation**
  Home values have historically risen over time, making real estate one of the most reliable wealth-builders.
- **Wealth Building**
  Every mortgage payment builds your equity — your personal net worth grows month after month.
- **Tax Benefits**
  Potential deductions on mortgage interest and property taxes. Consult your CPA for your specific situation.

What's your top reason to own?

Whatever it is — we'll build your buying strategy around it. Every buyer is different, and your goals should drive every decision.

Two Reasons It's a Strong Time to Buy in 2026

The last few years tested buyers with rising prices and limited inventory. But the landscape has shifted — and 2026 is offering conditions that haven't existed in years. Here's what's working in your favor.

1. Inventory Has Meaningfully Recovered

After years of historically tight supply, the number of homes available for sale has been steadily rebuilding. More choices mean less panic-buying, more negotiating room, and a better chance of finding a home that actually fits your needs and your budget — not just the first thing that hits the market.

+30%+	60+ days	More options
Inventory growth since 2023 lows	Avg. days on market in many submarkets	New construction & resale both available

2. Sellers Are Negotiating Again

In 2021–2022, buyers waived every contingency just to compete. That era is over in most markets. Today, motivated sellers are offering concessions — closing cost credits, rate buydowns, and price reductions — that simply weren't on the table before.

✓ Seller concessions are back — closing costs, rate buydowns, and repairs are all negotiable again.

✓ New construction builders are offering incentives to move inventory.

✓ Inspection contingencies are standard again — protect yourself.

"More inventory and motivated sellers means buyers have real leverage for the first time in years. That doesn't mean prices are crashing — it means you can buy smart."

— Phillip Himes, eXp Realty

New Construction: More Options Than You Think

About 1 in 3 homes on the market today is new construction — higher than the historical norm. Builders have been catching up after years of underbuilding, and they're motivated to sell. That creates real opportunity for buyers who know how to navigate it.

What New Construction Offers in 2026

- **Modern features.** Open floor plans, energy efficiency, smart-home wiring — without renovation costs.
- **Builder incentives.** Many builders are offering rate buydowns, free upgrades, or closing cost help to move inventory.
- **Less competition.** New builds often don't face the same multiple-offer frenzy as popular resale homes.
- **Warranty protection.** Most new homes come with 1–10 year builder warranties on structure and systems.
- **Flexible timing.** Lock your price today, close when construction completes — useful in shifting markets.

One Thing to Know About Builder Contracts

Builder contracts are written to protect the builder — not you. Before signing anything, have an agent review it. You need your own representation; the builder's sales agent works for the builder.

A buyer's agent costs you nothing on new construction.

The builder pays the commission. Having professional representation in the room when you negotiate upgrades, pricing, and contract terms is one of the highest-value moves you can make — at zero cost to you.

Mortgage Rates in 2026: What to Know

Rates have moderated from their 2023 peaks but remain elevated compared to the historic lows of 2020–2021. The good news: most buyers are finding ways to make the numbers work — and there are strategies available today that didn't exist during the frenzied seller's market.

Where Rates Stand

~6.5–7%	~6.0–6.5%	~6–6.5%
30-yr fixed current range	15-yr fixed current range	FHA / VA current range

Strategies to Manage Rates

- **Seller-paid rate buydown.** Ask the seller to buy your rate down 1–2 points. On a $400k loan, 1 point ≈ $4,000 — often worth negotiating for.
- **ARM loans.** If you plan to sell or refinance within 5–7 years, a 5/1 or 7/1 ARM can offer a meaningfully lower starting rate.
- **Larger down payment.** More equity upfront can improve your rate tier — even an extra 5% can move the needle.
- **Refinance later.** Rates won't stay elevated forever. Buy now, build equity, refinance when rates improve.
- **First-time buyer programs.** Texas has several assistance programs with below-market rates. Ask your lender what you qualify for.

> *"Don't try to time the mortgage market. Rates will fluctuate. Focus on what payment fits your budget today — and remember, you can always refinance later."*

Are Home Prices Going to Drop? Probably Not.

If you're waiting for a significant price correction, most data doesn't support that outcome — especially in high-demand Texas suburbs. Here's why prices have held and what to realistically expect.

Why Prices Are Holding

- Texas population growth continues — people keep moving to the Houston suburbs for jobs, schools, and affordability relative to other major metros.
- Existing homeowners with 3% mortgages aren't selling — keeping resale supply limited even as demand stays strong.
- New construction can only absorb so much demand — builder capacity is finite, and land costs keep rising.
- Job growth in Clear Creek ISD, NASA/JSC corridor, and medical center continues to drive buyer demand locally.

What Experts Are Projecting for 2026

Source	Projected Appreciation	Notes
Fannie Mae	3.5%	Moderate steady growth
NAR Economists	3–4%	Continued inventory recovery
CoreLogic	3.7%	Strong TX metros outperform
Local (CCIS)	4–5%+	Clear Creek ISD premium holds

Sources: Fannie Mae Housing Forecast, NAR Research, CoreLogic HPI, local market data. Forecasts are estimates only.

The cost of waiting: real numbers.

A $400,000 home appreciating at 3.5% annually = $14,000 in year-one equity gain. Over 5 years at that rate: roughly $77,000 in appreciation — money that goes to you as an owner, not to a landlord.

Renting vs. Owning: The Real Comparison

Renting feels cheaper month-to-month — until you look at the full picture. Here's what most renters don't calculate.

	Renting	Owning
Monthly payment	Goes to landlord	Builds your equity
Price increases	Every year	Fixed (with fixed rate)
Equity built	Zero	Grows every month
Tax benefits	None	Potential deductions
Customize freely	No	Yes — it's yours
Long-term stability	Lease-dependent	You control your home
Wealth building	None	Compounds over time

The Rent Trap

Rent has increased an average of 3–5% per year over the past decade. The longer you rent, the harder it becomes to save for a down payment — because your monthly outflow keeps rising. Meanwhile, homeowners who bought years ago are sitting on equity while their payment stays flat.

> If you're financially ready to buy — even at today's rates — you're almost certainly better off owning than renting within 3–5 years of purchase.

Timing the Market vs. Time IN the Market

The question isn't whether now is the perfect time to buy. It's whether buying now is better than waiting another year. History is pretty clear on the answer.

Why Trying to Time It Rarely Works

- Mortgage rates are unpredictable — they move on inflation data, Fed decisions, and global events no one can forecast.
- Home prices in strong job markets rarely correct significantly — waiting for a 'dip' that may never come means losing months of equity.
- Every month you rent instead of own is a month someone else is paying down a mortgage with your money.
- Transaction costs (agent commissions, closing costs) mean you need 2–3 years minimum to break even — so starting the clock sooner matters.

What Actually Matters

Your budget	Your timeline	Your goals
Can you comfortably afford the payment?	Planning to stay 3+ years?	Does owning support your life plan?

"Time in the market beats timing the market — in real estate just as much as in stocks. The best time to buy was years ago. The second best time is when you're ready."

The Biggest Mistakes Buyers Make Today

1

Waiting for the Perfect Moment

There is no perfect moment. Rates, prices, and inventory all move independently — and trying to get them all aligned at once almost never works. Buy when it makes sense for your life and your finances, not when the market hits some imaginary ideal.

2

Stretching the Budget Too Far

A lender's maximum approval isn't your budget. Factor in taxes, insurance, HOA, and maintenance before committing to a payment. The rule of thumb: keep total housing costs under 28–30% of gross income.

3

Skipping Down Payment Assistance

Nearly 80% of first-time buyers qualify for some form of assistance — but only 13% use it. Texas has multiple programs offering grants and low-interest loans for down payments and closing costs. Ask your lender and agent before you assume you don't qualify.

4

Waiving Inspections to Compete

In a calmer market, this is rarely necessary — and it's almost never worth the risk. A $400 inspection can reveal $40,000 in problems. Don't skip it.

5

Going It Alone

The homebuying process involves contracts, deadlines, disclosures, negotiations, and local market knowledge that take years to develop. A great agent costs you nothing on most transactions — the seller pays. Use the expertise available to you.

5 Reasons You Need an Agent When Buying

Since August 2024, buyer agency agreements are required before touring homes in Texas. That's actually good news — it formalizes a relationship that protects you throughout the process.

1

Expert Guidance

The rules, forms, and processes change constantly. A great agent knows the current landscape and walks you through every step — so you never feel lost.

2

Local Market Knowledge

Knowing what's selling, what's sitting, and what neighborhoods are trending takes years of on-the-ground experience. An agent translates data into strategy.

3

Smart Offer Strategy

Price is just one piece. An experienced agent knows how to structure terms, timelines, and contingencies that win — without overpaying.

4

Contract Protection

Real estate contracts are legally binding and full of fine print. Your agent reviews every page, flags every deadline, and makes sure you know what you're signing.

5

Negotiation Expertise

From first offer through final walkthrough, your agent is your voice. They push for repairs, price reductions, and closing cost credits — so you don't have to.

Working with Phillip as your buyer's agent costs you nothing.

In most transactions, the seller covers the buyer's agent commission. You get full professional representation — market analysis, contract expertise, negotiation, and guidance from contract to close — at no direct cost to you.

Things to Avoid After Applying for a Mortgage

Once you're under contract and your lender starts the approval process, your financial profile gets locked in. Any changes can delay closing — or worse, kill the deal entirely. Here's what NOT to do:

- **Make large purchases**
  No new cars, furniture, appliances, or anything on credit. Large purchases change your debt-to-income ratio.
- **Apply for new credit**
  Every credit inquiry can lower your score. Don't open new cards or apply for any financing.
- **Close credit accounts**
  Closing old accounts can shorten your credit history and raise your utilization ratio.
- **Change jobs or income**
  Lenders need consistency. A job change — even a better-paying one — can complicate your approval.
- **Deposit large cash amounts**
  Unexplained cash deposits raise red flags. Talk to your lender before moving significant money.
- **Co-sign for anyone else**
  Co-signing adds that debt to your profile. Your lender will count it against you.
- **Go MIA on your lender**
  Respond to requests quickly. Delays from the buyer are the #1 cause of missed closing dates.

The best rule: fully disclose and discuss any financial moves with your lender BEFORE you make them. When in doubt, ask first.

Ready to Find Your Home?

Let's talk strategy — before you make any moves.

A 15-minute call can save you tens of thousands.

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